E-ISSN: 3139-0668
Volume: I, Issue: II

https://kalingauniversity.ac.in/International-Journal-of-Research-and-Studies

INTERNATIONAL JOURNAL OF RESEARCH AND STUDIES

Month/Year : April-June, 2026 | DOI: https://doi.org/10.5281/zenodo.23118026

RECEIVED 03.05.2026

ACCEPTED 11.05.2026

PUBLISHED 30-06-2026

A STUDY ON THE GAP BETWEEN FINANCIAL LITERACY AND ACTUAL INVESTMENT BEHAVIOUR AMONG YOUNG PROFESSIONALS IN INDIA

Prachi Garg - Research Scholar

Faculty of Commerce & Management, Kalinga University, Raipur, Chhattisgarh

ABSTRACT:

Despite the increasing availability of financial literacy programs and digital tools in India that teach people about money, young professionals still don't know enough about money to make smart investments. This study looks at the difference between young working adults in urban India who are 22 to 35 years old and have a lot of financial knowledge and those who make investment decisions. The study included 95 participants from a variety of professional fields, such as information technology, healthcare, education, banking, and manufacturing. A systematic questionnaire using proven scales was utilized to gauge financial literacy and behavior of investing. Both quantitative and qualitative data were gathered in some selected cities in India such as Bangalore, Mumbai, Delhi NCR, Hyderabad, and Pune. The four categories of financial literacy were analyzed; namely, knowledge of financial instruments, understanding of risks and returns, knowledge of tax-saving options, and knowledge of macroeconomic factors. Investments in terms of frequency of investment, diversity, holding period, and congruity with stated financial goals were studied. The findings reveal that 67.4% of respondents possess moderate to high financial literacy, yet only 38.9% of them behave accordingly with respect to their knowledge on investing. Thus, a marked difference in behavior exists. Examples of cognitive biases include present bias, loss aversion, overconfidence, and herd mentality, among others. Gender, income level, education level, and risk propensity were found to be moderating factors in the relationship between literacy and behavior. The implications of these results are significant, as they suggest the importance of incorporating not only financial knowledge but also addressing other obstacles in the form of psychological barriers in the design of financial literacy interventions for India's emerging pool of young professionals.

Keywords: *Financial Literacy; Investment Behaviour; Behavioural Gap; Young Professionals; India; Cognitive Biases; Personal Finance; Behavioural Finance*

Introduction

There have been numerous changes in the financial environment of India during the past two decades. The advent of digital payment methods, SEBI's investor awareness initiatives regarding mutual funds, and the emergence of fintech applications have helped in accessing financial products and services (Lusardi & Mitchell, 2014). Additionally, the Indian economy has witnessed rapid growth, expansion of the middle-class segment, and an increase in the youth population. However, despite such structural advancements, practical evidence suggests that high levels of financial literacy do not always translate into sensible investment decisions. This topic holds great significance among academics from across the globe (Thaler & Sunstein, 2008; Kahneman, 2011).

This particular population forms an especially interesting target for research in financial behavior. They are usually individuals ranging from 22 to 35 years old and starting to accumulate wealth. The young adults are often making decisions regarding insurance plans, retirement, taxes, and investment portfolios for the first time in life (Chen & Volpe, 1998). Poor decision-making in this case may result in lasting consequences, highlighting the necessity to examine what factors cause financially literate individuals to make poor investments. While many studies focus on the lack of financial literacy in developing countries, the problem of behavioral gaps between financial literacy and behavior requires more attention (Rooij, Lusardi, & Alessie, 2011).

The Indian environment for research provides a unique setting to conduct research based on certain distinct features such as cultural specificities, financial systems involving joint families, the high use of traditional modes of saving including fixed deposits and gold, the impact of informal financial circles, and the relatively new culture of equity investment among the masses (Kumar, 2019). Moreover, India has seen a rapid rise in the number of demat accounts and retail investors in recent years, particularly post-COVID-19, with younger professionals becoming more attracted to digital forms of investments (SEBI, 2022; Deogirikar, 2023; Utla et al., 2025). Nevertheless, evidence from surveys suggests that most of the newly acquired retail investors lack an effective investment plan, engage in reactive investments, and are heavily influenced by peer activities (Aggarwal & Mazumder, 2021).

The theory of behavioral finance offers a strong theoretical framework to understand this difference. Behavioral economics and finance differ from conventional economic theories by introducing psychological aspects into economic modeling – heuristics, biases, emotions, and social influence in financial decisions (Shefrin & Statman, 2000). The present bias (preference for current reward over the future one), loss aversion

(disposition to feel losses more intensively than the corresponding gains), overconfidence (a systematic overestimation of the level of one's knowledge or prediction skills), and herding (copying investments made by others) are some prominent types of biases influencing financial behavior (Barber & Odean, 2001). If you want to develop effective financial literacy programs, you should understand how biases work within the cultural background of your target audience of young professionals in India.

Objectives

(1) measure the financial literacy levels of participants across essential knowledge dimensions

(2) analyse their investment behaviour regarding consistency, diversification, and goal alignment

(3) identify the cognitive biases and demographic factors that influence or alter the literacy-behaviour relationship

(4) offer evidence-based recommendations for addressing the identified behavioural gap through focused financial education and policy initiatives.

Literature Review

Investment behavior and financial literacy Financially literate individuals exhibit a strong relationship with financial literacy which has been a topic of significant scholarly research over the last 20 years with a large amount of empirical evidence indicating financial literacy as a determinant of financial decision-making quality. A thorough review of various countries by Lusardi and Mitchell (2014) reached a conclusion that financially literate people are much more likely to plan their retirement, engage in stock markets, amass wealth and prevent expensive financial errors including high-interest debts. They have since developed three-question based financial literacy assessment, which is based on understanding of compound interest, inflation and risk diversification, which has since been extensively adapted and tested in various socioeconomic and cultural settings, including in India (Lusardi and Mitchell, 2011). Kumar (2019) identified moderate financial literacy of the urban young professionals in the Indian setting, and systematic underinvestment in relation to their financial objectives, which they linked in part to the prevalence of traditional savings vehicles (especially gold and fixed deposits) compared to more growth-oriented ones (equity mutual funds). Likewise, the National Survey of Indian Investors (2022) by SEBI recorded that the awareness of financial products amongst working-age people was much higher than the adoption levels, with mutual funds awareness being 92% and penetration only 48 percent, creating a structural discrepancy between awareness and action, which remains unchanged despite a sustained investor education campaign like the one titled Mutual Funds Sahi Hai. Xiao and Porto

(2017) added financial literacy with financial capability - the interaction between knowledge, behavior and contextual opportunity - as a more holistic predictor of financial outcomes as they claim that knowledge is not enough and people also require the behavioral skills and structural access to realize their knowledge. This was corroborated by Rooij, Lusardi and Alessie (2011) who using longitudinal data of the Dutch Household Survey found out that direct stock market participation was strongly predicted by advanced financial literacy, but much less by basic literacy, indicating that it was the depth and the quality of financial literacy not its existence itself which predicted behavioral results. OECD/INFE (2020) international comparative survey further put these results in context by ranking India as having a lower combined financial literacy score than the global average and having relative weaknesses in financial behavior and financial attitude sub-scores as compared to financial knowledge sub-scores, which indicates that Indian populations might show a unique pattern of relatively stronger theoretical knowledge than behavioral application, which is confirmed and extended in the current study.

The theoretical framework behind behavioral finance offers the much-needed critical perspective on why financial literacy is not directly related to investment behavior, with a variety of cognitive biases and heuristics that result in a systematic distortion of financial decision-making, even in knowledgeable individuals. The Prospect Theory, by Kahneman and Tversky (1979) was the pioneer of the understanding that people base decisions on the comparison of outcomes with a reference point and that losses seem to be about twice as large as equivalent gains- a phenomenon called loss aversion, which bias investors toward over-conservative portfolios and excessive churning behavior during market crashes. Using the behavioral economics framework of the so-called nudge theory, Thaler and Sunstein (2008) showed that the choice architecture, defaults and framing effects have a profound influence on investment behavior and that well-constructed defaults - such as automatic enrollment in a pension scheme - can significantly boost participation rates even among those who would not voluntarily enroll, highlighting the importance of behavioral barriers being overcome by structural interventions rather than on education Under the Indian young professional setting, Aggarwal and Mazumder (2021) found the current bias and herd mentality to be the most prevalent behavioral impediments to long-term investment planning, with social media platforms serving as enhancers of herd behavior, whereby the information cascades taking the place of deliberate financial analysis are substituted by viral investment tips. The gender aspect of investment behavior was reported in Barber and Odean (2001), and it was found that male investors were much more overconfident (they experienced excess trading and lower net returns) whereas female investors were superior in risk-adjusted long-term returns (this has significant implications on gender-differentiated financial education strategies). A systematic review of behavioral biases in Indian investment

markets identified the anchoring, overconfidence, representativeness, and availability heuristics as the most commonly reported bias with a combination of these heuristics describing a significant part of the inconsistency between the rational investment behavior as suggested by classical finance theory (Zahera and Bansal, 2018). Moreover, Frederick, Loewenstein and O Donoghue (2002) have rigorously given a theoretical explanation of time discounting and present bias and have shown that the preference of people towards instant reward over future reward is not just a result of impatience but is a mechanism of deeper cognitive structure involving the vividness and availability of near term versus distant future outcomes, the mechanism that is directly applicable to low adoption of long-run instruments, including Combined, the literature demonstrates that the bridge between financial literacy and investment behavior needs interventions beyond knowledge transmission in a systematic approach to mitigate cognitive biases, harness behavioral design principles, and customize financial education to the context of the target population, including its psychological, cultural and structural specifics, which the current study attempts to empirically base in the particular case of young professionals working in urban India.

Methodology

Research Design

This study used a cross-sectional, descriptive-analytical research design that included both quantitative and qualitative parts in a mixed-methods framework. The quantitative part of the study used a structured questionnaire to measure financial literacy and investment behaviour. The qualitative part used semi-structured follow-up interviews with 20 respondents to get more detailed information about the psychological and contextual factors that influence behaviour patterns. The research took place in five major Indian cities—Bengaluru, Mumbai, Delhi NCR, Hyderabad, and Pune—over the course of four months, from January to April 2026.

Based on the theoretical and empirical evidence discussed above, the following hypotheses are proposed:

- H1: Financial literacy has a significant effect on the reduction of behavioral gaps.
- H2: Bias proneness has a significant effect on knowledge-behavior discrepancies.
- H3: Significant differences exist between younger, low-income, and non-finance employees with behavioral gaps.

Sample and Sampling Procedure

The target audience included employed young professionals aged 22 to 35 years living in metropolitan India. To get a good mix of people from different professional fields, income levels, genders, and educational backgrounds, a purposeful sample technique was used along with snowball referrals. The final sample consisted of 95 individuals who satisfied the qualifying criteria: aged 22 to 35, actively working in the formal sector, dwelling in a metropolitan or tier-1 city, and holding at least a bachelor's degree. There were 95 people in the study: 52 men, 41 women, and 2 people who did not identify as either gender. All participants provided informed written permission, and ethical criteria were meticulously adhered to throughout the data collecting and processing phases. Table 1 shows the sociodemographic characteristics of the sample.

Table 1: Sociodemographic Profile of Respondents (N = 95)

Characteristic	Category	Frequency (n)	Percentage (%)
Gender	Male	52	54.7
	Female	41	43.2
	Non-binary	2	2.1
Age Group	22–25 years	28	29.5
	26–29 years	37	38.9
	30–35 years	30	31.6
Education	Bachelor's Degree	38	40.0
	Master's Degree	47	49.5
	Professional Degree (CA/MBA/etc.)	10	10.5
Monthly Income	₹25,000–₹50,000	27	28.4
	₹50,001–₹1,00,000	44	46.3
	Above ₹1,00,000	24	25.3
Sector	Information Technology	32	33.7
	Banking & Finance	18	18.9
	Healthcare	12	12.6

	Education	11	11.6
	Manufacturing/Other	22	23.2

Instrument Development

The main tool for collecting data was a structured questionnaire that was created via a process of reviewing literature, talking to experts, and trying it out. There were four parts to the questionnaire: (a) Sociodemographic Information (8 questions); (b) Financial Literacy Scale (20 items); (c) Investment Behaviour Index (18 items); and (d) Cognitive Bias Assessment (15 items). The Financial Literacy Scale was adapted from standardised instruments created by Lusardi and Mitchell (2011) and the OECD/INFE (2016). It was then further tailored to the Indian context with questions about mutual funds, PPF, NPS, ELSS, equity markets, insurance, and fixed income instruments. The Financial Literacy Scale has a Cronbach's Alpha of $\alpha = 0.847$, and the Investment Behaviour Index had a Cronbach's Alpha of $\alpha = 0.819$, both of which show that the tests are quite reliable.

The composite score covering four sub-dimensions was adopted for measuring financial literacy, including: (i) Financial Product Knowledge (FPK); (ii) Risk-Return Understanding (RRU); (iii) Tax Planning Awareness (TPA); and (iv) Macroeconomic Comprehension (MC). The assessment of each sub-dimension was done using a five-point Likert scale (1=Strongly Disagree to 5=Strongly Agree), with questions coded reverse where applicable for consistency. The composite score involving four variables was adopted for assessing investment behaviour, including: (i) Investment Frequency and Consistency (IFC); (ii) Portfolio Diversification (PD); (iii) Goal-Based Planning Horizon (GBPH); and (iv) Risk-Behaviour Alignment (RBA). The behavioral gap score was generated as the standardized difference between the composite scores of financial literacy and investment behavior. The positive scores implied overconfidence, whereas negative scores indicated underperformance against financial literacy.

Data Collection

Both methods of collecting data were conducted using either online surveys on Google Forms or face-to-face interviews. The online survey was conducted by sending the link through professional networking sites such as LinkedIn groups and internal communications within companies. Face-to-face interviews took place in co-working spaces and corporate campuses as well as professional gatherings in the five targeted cities. Responses were handled in an anonymous and secure way. Following the elimination of incomplete or invalid responses, 95 questionnaires were selected for analysis.

Statistical Analysis

IBM SPSS Statistics Version 26 and Microsoft Excel were used to analyze the data collected from participants. Descriptive statistics including means, standard deviations, and frequencies were computed for all variables. Independent-samples t-test and one-way ANOVA were employed to examine the differences among various demographic groups regarding financial literacy and investing behavior scores. Pearson correlation test was used to examine the relationship between financial literacy and investing behavior. Multiple linear regression analysis was applied to identify significant determinants of the behavioral gap. Independent variables in the analysis include socio-demographic information and cognitive biases. All inferential tests were performed using alpha level $p < 0.05$.

Analysis and Interpretation

Financial Literacy Scores

Table 2 shows the descriptive data for the Financial Literacy Scale and its sub-dimensions. The mean financial literacy score for the whole sample was 3.42 (SD = 0.71) on a 5-point scale, which means that most people were somewhat financially literate. Financial Product Knowledge had the highest mean sub-dimension score (M = 3.68, SD = 0.64), and Macroeconomic Comprehension had the lowest mean score (M = 3.09, SD = 0.82). About 67.4% of the people who answered (n = 64) had moderate to high literacy (scoring ≥ 3.5), while 32.6% (n = 31) had poor financial literacy (score < 3.5).

Table 2: Descriptive Statistics for Financial Literacy Dimensions (N = 95)

Dimension	Mean (M)	Std. Dev. (SD)	Min	Max	% High Literacy (≥3.5)
Financial Product Knowledge (FPK)	3.68	0.64	1.80	5.00	74.7%
Risk-Return Understanding (RRU)	3.51	0.73	1.60	5.00	68.4%
Tax Planning Awareness (TPA)	3.41	0.79	1.40	5.00	61.1%
Macroeconomic	3.09	0.82	1.20	5.00	48.4%

Comprehension (MC)					
Overall Financial Literacy	3.42	0.71	1.50	5.00	67.4%

Investment Behaviour Index Scores

Table 3 shows the descriptive data for the Investment Behaviour Index and its sub-dimensions. The average investment behaviour score was 2.91 (SD = 0.78), which means that the respondents' actual investment behaviour was below the midpoint. This means that most of them were either inactive or inconsistent in their investing behaviour. The mean score for the Goal-Based Planning Horizon sub-dimension was the lowest (M = 2.67, SD = 0.91), which suggests that defining long-term financial goals is a major area of weakness. Investment Frequency and Consistency had the highest mean (M = 3.14, SD = 0.83), which suggests that respondents are somewhat more likely to regularly participate with their investments. Only 38.9% (n = 37) had high investing behaviour scores (≥ 3.5), whereas 67.4% had good financial literacy scores as seen in Table 2. This means that there was a raw behavioural disparity of 28.5 percentage points.

Table 3: Descriptive Statistics for Investment Behaviour Dimensions (N = 95)

Dimension	Mean (M)	Std. Dev. (SD)	Min	Max	% High Behaviour (≥3.5)
Investment Frequency & Consistency (IFC)	3.14	0.83	1.20	5.00	48.4%
Portfolio Diversification (PD)	2.88	0.86	1.00	5.00	37.9%
Goal-Based Planning Horizon (GBPH)	2.67	0.91	1.00	5.00	29.5%
Risk-Behaviour Alignment (RBA)	2.97	0.77	1.40	5.00	39.0%
Overall Investment Behaviour	2.91	0.78	1.20	5.00	38.9%

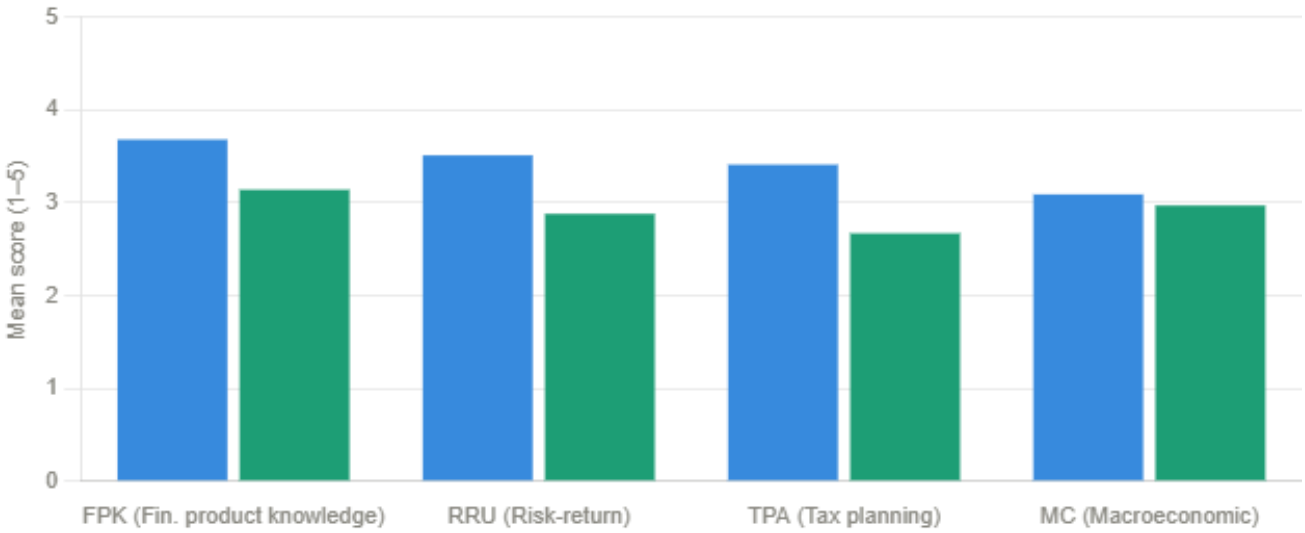


Fig 1: Financial Literacy vs Investment Behaviour-mean scores by dimensions

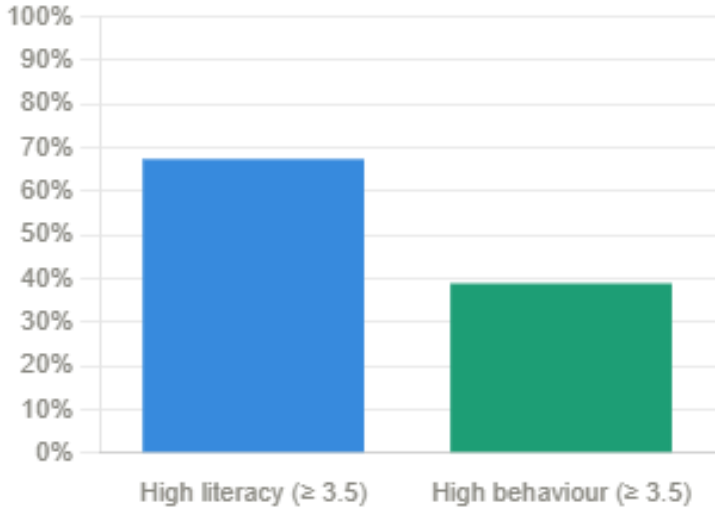


Fig 2: High literacy vs High Behaviour

The Behavioural Gap

We figured up the standardised behavioural gap score (Financial Literacy Score − Investment Behaviour Score) for each person who answered. A positive gap score means that a person's financial literacy is higher than their investing behaviour (knowledge-behaviour discordance). A negative score means that their behaviour is higher than what they say they know. Table 4 shows how the behavioural difference is spread out throughout the sample.

Table 4: Distribution of Behavioural Gap Scores (N = 95)

Gap Category	Score Range	n	Percentage	Interpretation

			(%)	
Large Positive Gap	> +1.0	23	24.2%	High literacy, very low behaviour
Moderate Positive Gap	+0.5 to +1.0	29	30.5%	Moderate discordance
Small Positive Gap	0 to +0.5	19	20.0%	Minor discordance
Aligned (Negligible Gap)	−0.5 to 0	16	16.8%	Literacy ≈ Behaviour
Negative Gap	< −0.5	8	8.4%	Behaviour exceeds literacy

Fig 3: Behavioural gap distribution % of respondents by gap category

Table 4 shows that 74.7% of the people who answered (n = 71) had some kind of positive behavioural gap, which means that their financial knowledge didn't always lead to investing activity. Only 16.8% (n = 16) showed a close match between their financial literacy and their investment behaviour, while 8.4% (n = 8) showed a negative gap, meaning their investment behaviour seemed to be higher than their measured literacy (probably because of experiential or informal learning that the standardised scale didn't capture).

Cognitive Bias Prevalence

The Cognitive Bias Assessment showed that many people in the sample had various behavioural biases. Table 5 shows how often and how strong the main biases were, assessed on a scale of 1 to 5, with higher scores indicating that people were more likely to have them.

Table 5: Cognitive Bias Prevalence Among Respondents (N = 95)

Cognitive Bias	Mean Score	SD	% High Susceptibility (≥ 3.5)	Rank
Present Bias	3.74	0.72	69.5%	1
Herd Mentality	3.61	0.78	64.2%	2
Loss Aversion	3.58	0.81	62.1%	3

Overconfidence	3.42	0.76	53.7%	4
Anchoring Bias	3.31	0.83	48.4%	5
Status Quo Bias	3.19	0.87	44.2%	6
Mental Accounting	3.07	0.91	38.9%	7

Present bias was the most common cognitive bias (M = 3.74, 69.5% high sensitivity), which means that most young professionals prefer to put short-term pleasure or current consumption ahead of long-term wealth building. Herd mentality came in second (M = 3.61, 64.2%), which means that people are very likely to be influenced by their peers and social proof when making financial choices. Loss aversion (M = 3.58, 62.1%) and overconfidence (M = 3.42, 53.7%) were also quite common, which is in line with what the worldwide behavioural finance research says.

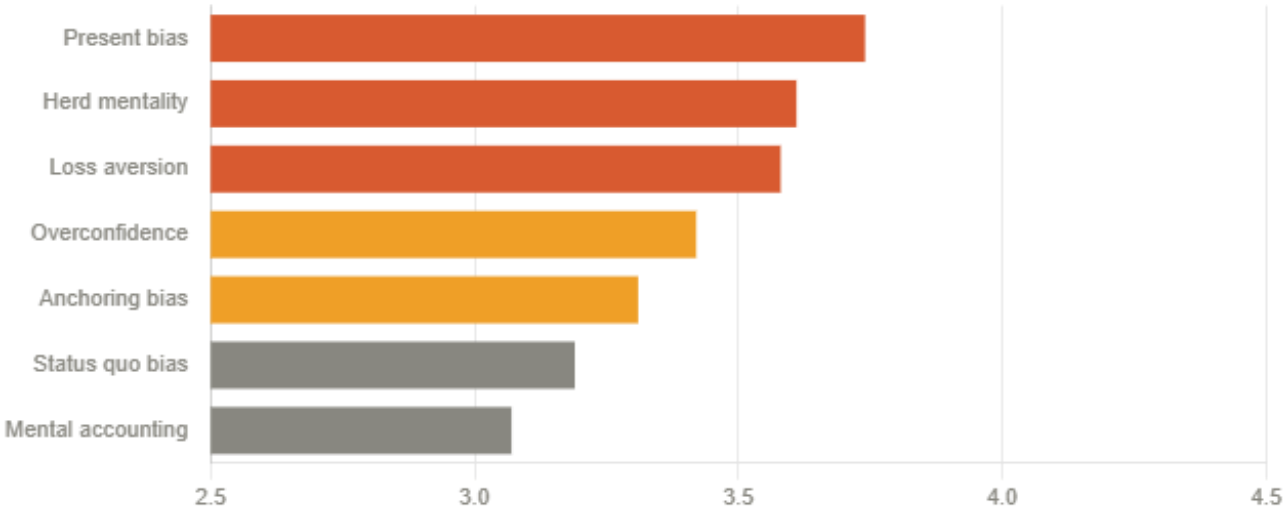


Fig 4: Cognitive bias Susceptibility

Correlation and Regression Analysis

Pearson correlation analysis indicated a statistically significant yet moderate positive correlation between overall financial literacy scores and investment behaviour scores ($r = 0.431$, $p < 0.001$), affirming that increased literacy correlates with improved investment behaviour, though it does not ensure it. The correlation was stronger in the Banking & Finance sector ($r = 0.612$, $p < 0.01$) than in the IT sector ($r = 0.389$, $p < 0.05$). This suggests that the literacy-behaviour translation mechanism works differently in different sectors.

Table 6: Pearson Correlation Matrix: Financial Literacy, Investment Behaviour, and Cognitive Biases

Variable	1. FL	2. IB	3. PB	4. HM	5. LA	6. OC
1. Financial Literacy (FL)	1.000					
2. Investment Behaviour (IB)	0.431**	1.000				
3. Present Bias (PB)	−0.287**	−0.412**	1.000			
4. Herd Mentality (HM)	−0.198*	−0.374**	0.341**	1.000		
5. Loss Aversion (LA)	−0.156	−0.329**	0.288**	0.312**	1.000	
6. Overconfidence (OC)	0.218*	−0.241**	0.193*	0.241**	0.179*	1.000

[*Note: **p<0.01 (two-tailed); *p<0.05 (two-tailed). FL= Financial Literacy; IB= Investment Behaviour; PB= Present Bias; HM= Herd Mentality; LA= Loss Aversion; OC= Overconfidence*]

The behavioural gap score was the dependent variable in a multiple linear regression analysis. The standardised regression coefficients and model statistics are shown in Table 7.

Table 7: Multiple Linear Regression: Predictors of the Behavioural Gap Score (N = 95)

Predictor Variable	β (Standardized)	SE	t-value	p-value	95% CI
Financial Literacy (Overall)	−0.481	0.089	−5.41	< 0.001	[−0.658, −0.304]
Present Bias	0.312	0.078	4.00	< 0.001	[0.157, 0.467]
Herd Mentality	0.241	0.082	2.94	0.004	[0.078, 0.404]
Loss Aversion	0.198	0.081	2.44	0.017	[0.037, 0.359]

Income Level	−0.187	0.076	−2.46	0.016	[−0.338, −0.036]
Age	−0.159	0.074	−2.15	0.034	[−0.306, −0.012]
Gender (Female vs. Male)	0.104	0.071	1.46	0.147	[−0.038, 0.246]
Overconfidence	0.138	0.079	1.75	0.084	[−0.019, 0.295]

[*Note: Model F (8.86) = 9.37, p<0.001; R^2=0.466; Adjusted R^2=0.412. Dependent variable: Behavioural Gap Score (Financial Literacy- Investment Behaviour).*]

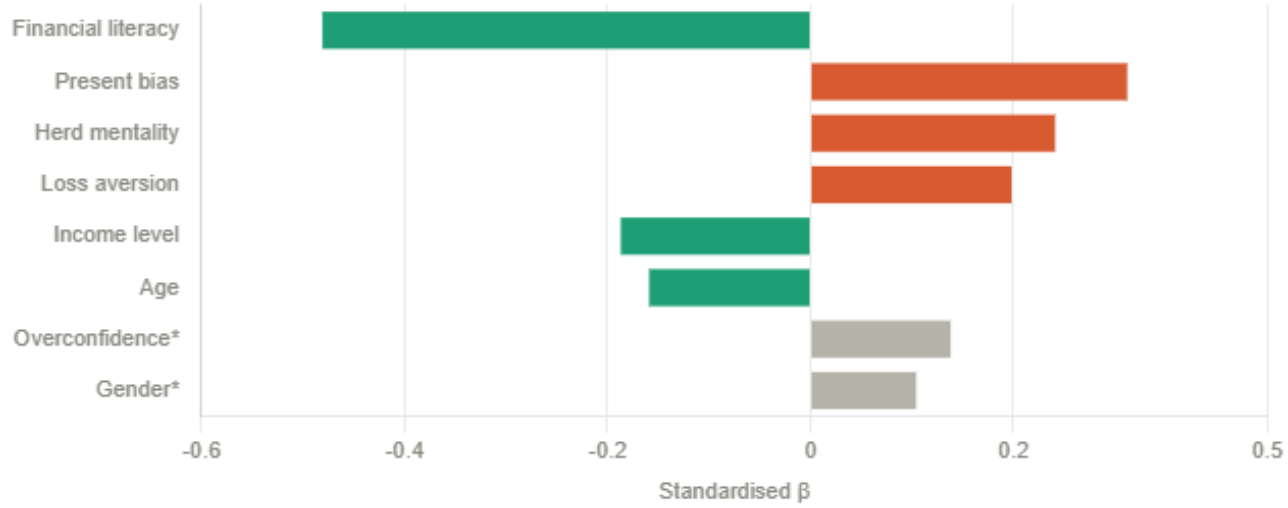


Fig 5: Predictors of the behavioural gap- standard β coefficients

The regression model was statistically significant (F (8, 86) = 9.37, p < 0.001) and explained around 46.6% of the difference in the behavioural gap score (R^2 = 0.466, Adjusted R^2 = 0.412). Financial literacy was the biggest predictor (β = −0.481), which means that those who were more financially literate had a lower behavioural gap. Present bias (β = 0.312) and herd mentality (β = 0.241) were the two cognitive biases that had the most effect on the gap. Income level (β = −0.187) and age (β = −0.159) were also important. People with greater incomes and older ages had smaller behavioural disparities. Gender and overconfidence did not approach the usual levels of significance.

Investment Instrument Preferences

The questions required the respondents to indicate their major investment tools. Table 8 provides an overview of preferences with the rates of awareness and actual usage.

Table 8: Investment Instrument Awareness vs. Actual Usage (N=95)

Investment Instrument	Awareness (%)	Actual Usage (%)	Gap (%)
Fixed Deposits (FD)	98.9%	76.8%	22.1%
Mutual Funds (SIP/Lump Sum)	95.8%	58.9%	36.9%
Equity / Direct Stocks	89.5%	47.4%	42.1%
Public Provident Fund (PPF)	84.2%	43.2%	41.0%
National Pension System (NPS)	73.7%	21.1%	52.6%
ELSS (Tax-saving Mutual Funds)	68.4%	32.6%	35.8%
Gold (Physical / Digital / ETF)	100.0%	65.3%	34.7%
Real Estate	91.6%	18.9%	72.7%
Cryptocurrency / Digital Assets	78.9%	24.2%	54.7%
Life / Term Insurance	96.8%	54.7%	42.1%

Table 8 demonstrates that the awareness-usage gaps are big in all types of investments, with the biggest gaps in Real Estate (72.7%), Cryptocurrency (54.7%), NPS (52.6%), and Equity/Direct Stocks (42.1%). The closest difference was seen in Fixed Deposits (22.1%), which is in line with the current cultural inclination towards conservative savings tools in India. Interestingly, even the Mutual Funds, which is the star product that was highlighted in the campaign of SEBI Mutual Fund Sahi Hai, had a significant gap of 36.9 percent in the awareness-use.

Discussion

The results of this research provide substantial empirical evidence for the presence of a significant behavioural disparity between financial literacy and real investing behaviour among young professionals in India. The overall mean financial literacy score of 3.42 on a 5-point scale corresponds with the findings from SEBI's National Survey of Indian Investors (2022), which indicated moderate financial literacy among urban working adults, and aligns with the OECD/INFE (2020) comparative data that places India slightly below the global

average on standardised financial literacy assessments. The more significant finding is that 74.7% of respondents demonstrated a positive behavioural gap, indicating that their financial knowledge consistently surpassed their investment practices, a result aligned with the broader behavioural finance literature (Lusardi & Mitchell, 2014; Rooij et al., 2011).

The moderate positive correlation between financial literacy and investment behaviour ($r = 0.431$) shows that knowledge is necessary but not enough to change behaviour. This is similar to the theory-practice gap that has been found in areas like health behaviour and environmental sustainability (Ajzen, 1991). The behavioural gap in this study is theoretically based on the intention-behaviour gap framework, which posits those positive attitudes and intentions—represented here by financial knowledge—do not always result in corresponding behaviours due to volitional and psychological obstacles (Sheeran & Webb, 2016). In the financial sector, these obstacles are exacerbated by the abstract, unpredictable, and temporally remote characteristics of investment results, making the disparity between financial knowledge and action both theoretically foreseeable and practically enduring.

The discovery that presents bias is the most powerful cognitive bias predictor of the behavioural gap ($\beta = 0.312$, $p < 0.001$) is very important. Present bias, characterised by the inclination to prioritise immediate gratification over future rewards, fundamentally contradicts the principles of long-term investment, which necessitates the postponement of current consumption for uncertain yet compounding future benefits (Thaler & Sunstein, 2008; Frederick, Loewenstein, & O'Donoghue, 2002). In Indian culture, present bias may be even stronger because of social spending duties like weddings, religious festivities, and family financial assistance. These are all types of spending that may compete directly with investable excess. Younger, lower-income respondents (ages 22–25, earning 25,000–50,000/month) had a lot more present bias. This is in line with life-cycle theory expectations that investing behaviour becomes better with age and income when these structural constraints are overcome.

Herd mentality, which was the second most common (64.2%) and a strong predictor of regression ($\beta = 0.241$, $p = 0.004$), shows how financial decisions are made in India. The retail equity participation boom in the wake of the pandemic, driven by social media platforms like Zerodha trading forums, YouTube financial influencers, WhatsApp investment groups, among others, has led to the creation of a situation where in many cases investment decisions are not strategic choices but rather reactive behaviour to peer behaviour (Aggarwal and Mazumder, 2021).

The involvement of loss aversion ($\beta = 0.198$, $p = 0.017$) in exacerbating the behavioural gap aligns with Kahneman and Tversky's (1979) Prospect Theory, which asserts that the psychological distress associated with losses is about double the satisfaction obtained from equal gains. In the realm of investments, loss aversion may be evident as a preference for capital-protected instruments (such as fixed deposits and gold) over potentially higher-yielding but more volatile equity instruments. This tendency contributes to the low adoption rates of direct equities (47.4%) and ELSS funds (32.6%) as seen in Table 8. This discovery has significant consequences for investor education, indicating that initiatives concentrating only on risk-adjusted return computations will be ineffective unless they also tackle the emotional aspects of loss.

The income gradient in behavioural gap scores fits with what traditional financial planning theory says: that having more discretionary income makes it easier to invest in a wider range of things (Lusardi & Tufano, 2015). Nonetheless, it is significant that even the highest income bracket (exceeding ₹1,00,000/month) had a mean behavioural difference of 0.44, suggesting that structural considerations alone do not account for the disparity. The Banking & Finance sector exhibits the narrowest gap (0.40) and the most robust literacy-behaviour correlation ($r = 0.612$), likely indicating the influence of occupational socialization—professionals immersed in financial contexts may possess more pronounced norms, implicit knowledge, and peer accountability frameworks that facilitate the translation of literacy into behaviour.

The awareness-usage gap for NPS (52.6%) is a significant policy finding, given the National Pension System is a key part of India's retirement savings system. Even while urban young professionals are well aware of the program, very few of them actually sign up. This gap may be due to the fact that people think NPS is illiquid (they can't take their money out until they retire), the tiered account structure is too complicated, and employers aren't doing enough to encourage enrolment. All of these things show that behavioural changes are needed, such as automatic enrolment, simpler choice architecture, and targeted peer communication campaigns (Thaler & Benartzi, 2004). The 41% awareness-usage gap for PPF indicates that even well known, low-risk products are underutilised compared to their awareness, mainly owing to inertia and the transaction costs involved in account establishment.

The gender analysis, while not achieving statistical significance in the regression model, demonstrated a persistent trend whereby female respondents had somewhat greater behavioural gaps despite possessing lower mean financial literacy scores (Table 7). This fits with studies from industrialised countries that shows women may be less confident in making financial decisions and more afraid of taking risks, even when knowledge levels are taken into account (Barber & Odean, 2001). Cultural characteristics unique to India—such as gendered norms around financial autonomy, less exposure to financial networks, and unequal access to

financial decision-making within households—may exacerbate this trend (Bernhardt et al., 2019). These results highlight the need of gender-sensitive financial literacy initiatives that tackle both knowledge gaps and the institutional and social impediments that restrict female investing engagement.

The study's results show that the conventional concept of financial literacy, which says that learning about money leads to better behaviour, has to be changed to include behavioural finance. A more advanced model would integrate individual psychological profiles (bias susceptibility), socioeconomic constraints (income, liquidity), social environment (peer behaviour, professional culture), and structural factors (product accessibility, regulatory clarity) as co-determinants of the literacy-behaviour relationship. The adjusted R^2 of 0.412 for the regression model shows that these factors together explain a large part of the difference in behaviour, but it also leaves room for other factors, like financial self-efficacy, trust in financial institutions, and social capital, that future research should look into.

Conclusion

The aim of the study was to investigate the disparity between financial literacy and actual investment behavior of young professionals in India. The key finding was a wide divergence between the two: whereas 67.4% of the participants had average or above-average financial literacy levels, only 38.9% of the respondents demonstrated investment behavior corresponding to their knowledge base, implying a behavioral disparity among more than two-thirds of the respondents. According to the regression analysis, present bias, herd mentality, loss aversion, income level, and age were identified as the main determinants of the disparity, while the awareness-usage model identified instrument-specific barriers such as significant barriers to investing in NPS, real estate, and equities. In sum, these findings provide clear proof against the existing model of financial education, which postulates a direct causal link between knowledge and behavior. Instead, the results call for a behaviorally grounded approach that would include both psychological debiasing and contextual financial education. The findings call for employer-sponsored financial wellness programs, compulsory behavioral finance modules under the SEBI mandate, nudge-based app design that addresses present bias through commitment and visualization of goals, as well as a default enrollment framework for key instruments, including NPS and ELSS. Fixing the behavioural gap isn't just about improving people's finances; it's also important for the economy as a whole in a nation where household savings are a key engine of capital creation and long-term economic development. Subsequent study need to broaden this examination to include tier-2 and tier-3 cities, use longitudinal methodologies to monitor behavioural modifications over time, and investigate the function of digital financial platforms as both enhancers of biases and possible instruments for behavioural remediation.

References

[1] Aggarwal, N., & Mazumder, S. (2021). Digital financial inclusion and investment behaviour among millennials in India: Evidence from the post-COVID era. Indian Journal of Finance, 15(4), 22–39. https://doi.org/10.17010/ijf/2021/v15i4/158874

[2] Ajzen, I. (1991). The theory of planned behaviour. Organizational Behaviour and Human Decision Processes, 50(2), 179–211. https://doi.org/10.1016/0749-5978(91)90020-T

[3] Barber, B. M., & Odean, T. (2001). Boys will be boys: Gender, overconfidence, and common stock investment. Quarterly Journal of Economics, 116(1), 261–292. https://doi.org/10.1162/003355301556400

[4] Bernhardt, A., Field, E., Pande, R., & Rigol, N. (2019). Household matters: Revisiting the returns to capital among female microentrepreneurs. American Economic Review: Insights, 1(2), 141–160. https://doi.org/10.1257/aeri.20180444

[5] Chen, H., & Volpe, R. P. (1998). An analysis of personal financial literacy among college students. Financial Services Review, 7(2), 107–128. https://doi.org/10.1016/S1057-0810(99)80006-7

[6] Deogirikar, S. B. (2023). A CRITICAL ANALYSIS OF INDIAN RETAIL INVESTORS WITH REFERENCE TO STOCK MARKET INVESTMENT DURING PANDEMIC PERIOD. *Economic Times*.

[7] Frederick, S., Loewenstein, G., & O'Donoghue, T. (2002). Time discounting and time preference: A critical review. Journal of Economic Literature, 40(2), 351–401. https://doi.org/10.1257/002205102320161311

[8] Kahneman, D. (2011). Thinking, fast and slow. Farrar, Straus and Giroux.

[9] Kahneman, D., & Tversky, A. (1979). Prospect theory: An analysis of decision under risk. Econometrica, 47(2), 263–291. https://doi.org/10.2307/1914185

[10] Kumar, S. (2019). Financial literacy and investment behavior among Indian households: A study of urban middle-class families. Journal of Financial Counseling and Planning, 30(1), 117–130. https://doi.org/10.1891/1052-3073.30.1.117

[11] Lusardi, A., & Mitchell, O. S. (2011). Financial literacy around the world: An overview. Journal of Pension Economics and Finance, 10(4), 497–508. https://doi.org/10.1017/S1474747211000448

[12] Lusardi, A., & Mitchell, O. S. (2014). The economic importance of financial literacy: Theory and evidence. Journal of Economic Literature, 52(1), 5–44. https://doi.org/10.1257/jel.52.1.5

[13] Lusardi, A., & Tufano, P. (2015). Debt literacy, financial experiences, and overindebtedness. Journal of Pension Economics and Finance, 14(4), 332–368. https://doi.org/10.1017/S1474747215000232

[14] OECD/INFE. (2016). International survey of adult financial literacy competencies. OECD Publishing. https://www.oecd.org/finance/OECD-INFE-International-Survey-of-Adult-Financial-Literacy-Competencies.pdf

[15] OECD/INFE. (2020). OECD/INFE 2020 international survey of adult financial literacy. OECD Publishing. https://doi.org/10.1787/59b9cf8d-en

[16] Rooij, M. V., Lusardi, A., & Alessie, R. (2011). Financial literacy and stock market participation. Journal of Financial Economics, 101(2), 449–472. https://doi.org/10.1016/j.jfineco.2011.03.006

[17] SEBI. (2022). National survey of Indian investors 2022. Securities and Exchange Board of India. https://www.sebi.gov.in/reports-and-statistics/research/may-2022/national-survey-of-indian-investors-2022_57573.html

[18] Sheeran, P., & Webb, T. L. (2016). The intention–behaviour gap. Social and Personality Psychology Compass, 10(9), 503–518. https://doi.org/10.1111/spc3.12265

[19] Shefrin, H., & Statman, M. (2000). Behavioural portfolio theory. Journal of Financial and Quantitative Analysis, 35(2), 127–151. https://doi.org/10.2307/2676187

[20] Utla, B., Murthy, P. S. S., Nazneen, S., Kalpana, P., & Sivapriya, C. (2025). How YouTube Finfluencers Are Driving Market Turnover Among Young Investors. *IUP Journal of Accounting Research & Audit Practices*, *24*(3), 645-653.

[21] Thaler, R. H., & Benartzi, S. (2004). Save more tomorrow: Using behavioural economics to increase employee saving. Journal of Political Economy, 112(S1), S164–S187. https://doi.org/10.1086/380085

[22] Thaler, R. H., & Sunstein, C. R. (2008). Nudge: Improving decisions about health, wealth, and happiness. Yale University Press.

[23] Xiao, J. J., & Porto, N. (2017). Financial education and financial satisfaction: Financial literacy, behaviour, and capability as mediators. International Journal of Bank Marketing, 35(5), 805–817. https://doi.org/10.1108/IJBM-01-2016-0009

[24] Zahera, S. A., & Bansal, R. (2018). Do investors exhibit behavioral biases in investment decision making? A systematic review. Qualitative Research in Financial Markets, 10(2), 210–251. https://doi.org/10.1108/QRFM-04-2017-0028